

TECHNICAL ANALYSIS IS DEPENDENT ON REPEATING PATTERNS

Technical analysis assumes that patterns that have played out in the past, will repeat themselves. So the focus is on finding situations where similar circumstances have occurred. All the calculations and price-volume data assume that the patterns will repeat themselves going further.

A system is created around this, and at times when the system holds and the pattern repeats itself, the analyst or the trader ends up with a profit. At other times when the pattern does not repeat itself, the trader ends up with a loss. The math of the system should make sure that it is sustainable in itself. We will see all this in the later stages, going ahead.

